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Do Index Funds Monitor?

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1 Big picture

- **Question.** Do passively managed index funds monitor their portfolio companies, or do they monitor less than the active mutual funds they are replacing?
- **Setting.** The paper studies U.S. mutual funds and public firms from **2004 to 2018**, combining detailed **fund-level voting data** with **Russell 1000/2000 index reconstitutions**.
- **Why the question matters.** Index funds had grown to more than **30% of U.S. equity fund assets** and had become some of the largest shareholders of U.S. corporations. If they monitor weakly, the rise of passive investing can change corporate control.
- **Core challenge.** Fund holdings are endogenous. Better- or worse-governed firms may attract different investors, and firm policies may themselves respond to ownership structure.
- **Main empirical strategy #1.** For **voting behavior**, the paper compares index funds and active funds **within the same firm-year meeting agenda**, using high-dimensional fixed effects. This removes firm-level and even firm-year-level confounds.
- **Main empirical strategy #2.** For **firm-level governance outcomes**, the paper develops a **difference-in-differences design** around **post-2006 Russell reconstitutions**, exploiting quasi-random index switching near the Russell band cutoffs.
- **Main monitoring result.** On **contentious governance votes**—those on which ISS and firm management disagree—index funds are about **10.1 percentage points** more likely than active funds to vote with management.
- **Resource-mechanism result.** Index funds with **higher expense ratios** oppose management more. A **25-basis-point** higher expense ratio is associated with roughly a **7.2 percentage-point** lower likelihood of siding with management on contentious items.
- **Category result.** The pro-management tilt of index funds appears across **board elections, compensation, disclosure, and entrenchment votes**. The largest gap is on **compensation proposals**.
- **Public-engagement result.** Fund families with more passive assets are much **less likely to file Schedule 13D**. In the subsample of filings matched to individual funds, the paper finds **zero** 13D filings by index funds.
- **Private-engagement result.** The paper finds **no evidence** that index funds offset their weak voting by effective behind-the-scenes engagement. After increases in index-fund ownership, shareholder proposals actually become **less likely to pass**.
- **Governance result.** When a firm switches from the Russell 1000 to the Russell 2000 and passive ownership rises, **pay-performance sensitivity falls, total compensation rises, the equity share of compensation falls, and board independence declines**.
- **Firm-value result.** The same switch is followed by lower **Tobin's q** , lower **market-to-book**, and lower **ROA**.
- **Main conclusion.** Relative to active funds, index funds are **weaker monitors**. Their rise **shifts power from investors to managers** rather than strengthening shareholder oversight.

2 Data and measurement (key objects)

2.1 Fund-level voting data

The paper uses **ISS Fund Voting data** to observe how individual mutual funds and ETFs vote on shareholder-meeting agenda items for most U.S. public firms, beginning in 2003. The ISS voting data are linked to the **CRSP Mutual Fund Database**, and the core sample covers **2004–2018**.

A fund is classified as an **index fund** if its CRSP fund flag is “**D**”, which corresponds to a pure index fund whose objective is to track a recognized market index. All remaining mutual funds are treated as **active funds**.

Interpretation. This fund-level classification lets the paper compare the monitoring behavior of passive funds directly to the active funds they are replacing, rather than comparing passive funds to an abstract benchmark.

2.2 Fund characteristics

Relative to active funds, the index funds in the sample are:

- **larger**: average AUM about **\$2.57 billion** versus **\$1.65 billion**;
- **cheaper**: average expense ratio about **0.47%** versus **1.14%**;
- **more diversified**: average holdings of about **308** stocks versus **98**.

Interpretation. The low-cost, highly diversified business model of index funds is central to the paper’s mechanism: it makes monitoring more expensive on a per-firm basis and weakens the incentive to spend resources on any single portfolio company.

2.3 Ownership and Russell data

To study firm-level consequences, the paper combines:

- **Russell index membership lists** provided directly by Russell,
- firm and stock data from **CRSP** and **Compustat**,
- fund holdings from the **CRSP holdings database** merged with **Thomson Reuters S12**.

The key **Russell cohort sample** is built from annual June index reconstitutions from **2007 to 2016**. For each year, the authors select firms in a ± 100 **rank window** around the upper and lower Russell bands and keep each firm for **3 years before and 3 years after** index assignment.

Summary statistics for the cohort sample show:

- average market capitalization of about **\$2.53 billion**;
- average ownership by **all index funds** of about **9.23%** of market capitalization;
- average ownership by **active mutual funds** of about **25.25%**.

Interpretation. The governance design is not using all U.S. firms. It focuses on mid-cap firms near the Russell 1000/2000 boundary, where index switching creates sharp changes in passive ownership.

2.4 Voting outcomes

The central voting outcome is:

$$VotedWithMgmt_{fjat} = 1 \tag{1}$$

if fund f votes with management's recommendation on agenda item a for firm j in year t , and zero otherwise.

The paper separates:

- **consensus items:** ISS and management agree;
- **contentious items:** ISS and management disagree.

The paper also breaks contentious items into the categories:

- **Board of directors,**
- **Compensation,**
- **Disclosure,**
- **Entrenchment.**

Interpretation. Consensus votes are not a strong test of monitoring because nearly all funds vote the same way. The informative variation comes from contentious items, where funds must actually choose whether to back managers or challenge them.

2.5 Public- and private-engagement measures

For **public engagement**, the paper studies blockholding disclosure forms:

- **Schedule 13D:** required when the holder seeks to influence control;
- **Schedule 13G:** passive short-form alternative.

The key family-level variable is the **fraction of filings made under 13D** rather than 13G.

For **private engagement**, the paper studies indirect but observable implications:

- whether voting differences are concentrated only on **management proposals**;
- whether exogenous increases in index ownership change the **number, contentiousness, or pass rates** of management and shareholder proposals.

Interpretation. Private engagement is unobservable, so the paper tests whether it leaves observable traces in agenda setting and proposal outcomes.

2.6 Governance and performance outcomes

Using Execucomp, ISS, and BoardEx, the paper studies:

- **managerial incentives:** log pay-performance sensitivity, log total compensation, fraction of equity-linked compensation, golden parachutes, CEO turnover;

- **governance:** board independence, E-index, poison pills, supermajority rules, limits on special meetings, written consent, and dual-class shares;
- **firm value/performance:** log Tobin’s q , adjusted log Tobin’s q , log market-to-book, and ROA.

Interpretation. These outcomes let the paper move beyond voting behavior and ask whether weaker monitoring actually changes the way firms are run.

2.7 Key descriptive facts

The raw vote shares already show the central pattern:

- on **consensus** items, index and active funds vote almost identically;
- on **contentious** items where management says “Yes” and ISS says “No,” index funds vote “Yes” about **53.4%** of the time versus **43.9%** for active funds;
- on contentious items where management says “No” and ISS says “Yes,” index funds vote “No” about **51.3%** of the time versus **46.8%** for active funds;
- overall, on contentious items, index funds vote with management about **54.3%** of the time versus **47.3%** for active funds.

Interpretation. The interesting contrast is not that index funds always support managers. It is that when a real governance disagreement arises, they support managers **materially more often** than active funds do.

3 Models and empirical specifications (all equations + interpretation)

3.1 High-dimensional fixed effect voting regression

A compact representation of the paper’s main voting specification is

$$VotedWithMgmt_{fjat} = \beta IndexFund_{ft} + \phi_{jt} + \varepsilon_{fjat}, \quad (2)$$

where:

- f indexes funds,
- j indexes firms,
- a indexes agenda items,
- t indexes years,
- $IndexFund_{ft} = 1$ if the voter is an index fund,
- ϕ_{jt} are **firm-by-year fixed effects**.

Interpretation. This is the paper’s most saturated comparison: it asks whether, **at the same firm and the same annual meeting**, index funds are more likely than active funds to side with management.

3.2 Expense-ratio interaction

To test whether monitoring depends on resources, the paper augments the voting regression with expense-ratio interactions:

$$VotedWithMgmt_{fjat} = \beta_1 IndexFund_{ft} + \beta_2 (ExpenseRatio_{ft} \times IndexFund_{ft}) + \beta_3 (ExpenseRatio_{ft} \times ActiveFund_{ft}) \quad (3)$$

Interpretation.

- $\beta_1 > 0$ means index funds are more pro-management than active funds.
- $\beta_2 < 0$ means higher-fee index funds behave *more like active funds*, consistent with having more resources to invest in monitoring.

3.3 Split-sample voting specifications

The same high-dimensional fixed effect framework is applied separately to:

- different **vote categories** (board, compensation, disclosure, entrenchment),
- different **proposal origins** (management versus shareholder proposals),
- alternative outcomes such as **VoteYes**, **VoteNo**, and **Abstain**.

Interpretation. These splits allow the paper to ask whether index funds are only weak monitors on less important items, or whether the pattern survives precisely where governance should matter most.

3.4 Public engagement

At the fund-family level, the paper relates activist filing behavior to the passive share of assets. A reduced-form summary is:

$$Fraction13D_{jt} = f(FracAUMPassive_{jt}, \log AUM_{jt}, NumFilings_{jt}) + \varepsilon_{jt}, \quad (4)$$

where $Fraction13D_{jt}$ is the share of family j ’s blockholding disclosures in year t filed under **Schedule 13D** rather than **13G**.

Interpretation. If passive families monitor publicly, they should be more willing to use the activist disclosure form. The paper finds the opposite.

3.5 Russell difference-in-differences design

For firm-level outcomes, the core specification is

$$Y_{jct} = \beta_1 \mathbf{1}\{R1000 \rightarrow R2000_{jc}\} \times PostAssignment_{ct} + \beta_2 \mathbf{1}\{R2000 \rightarrow R1000_{jc}\} \times PostAssignment_{ct} + \phi_{jc} + \lambda_t + \varepsilon_{jct}, \quad (5)$$

where:

- j indexes firms,
- c indexes annual Russell cohorts,
- t indexes calendar years,
- ϕ_{jc} are **firm-by-cohort fixed effects**,
- λ_t are **year fixed effects**,
- $PostAssignment_{ct} = 1$ after the firm's June index assignment in cohort c .

Interpretation.

- β_1 captures the effect of switching from the Russell 1000 to the Russell 2000, which raises passive ownership and lowers active ownership.
- β_2 captures the reverse switch.

3.6 Why this is not a standard RDD

The paper explicitly argues that a standard regression discontinuity design is **undesirable** here because:

- Russell does not publicly release the true **May rankings** used for assignment;
- using the published **June rankings** can create pretreatment differences;
- imputing May rankings introduces **measurement error in the forcing variable**, which can flatten the control function and create spurious discontinuities.

Interpretation. The paper's contribution is not just to use Russell assignment. It is to redesign the Russell strategy so that identification does not depend on a noisy forcing variable.

3.7 Outcomes estimated with the Russell design

The same difference-in-differences setup is used for:

- **ownership composition** (index versus active ownership),
- **proposal counts and pass rates**,
- **managerial compensation and pay-performance sensitivity**,
- **board structure and governance provisions**,
- **firm value and profitability**.

Interpretation. The paper therefore links the same ownership shock to a whole chain of outcomes: first investor composition, then monitoring behavior, then governance, and finally firm performance.

3.8 Standard errors and estimation

The paper clusters standard errors:

- by **fund and firm** in the fund-level voting regressions;
- by **firm and year** in the Russell difference-in-differences regressions.

Interpretation. The inference design matches the two main data structures: many votes by the same funds across firms, and repeated firm observations over time.

4 Identification and instruments (what makes the estimates credible)

4.1 Identification in the voting regressions

The main identification strength of the voting analysis is the use of **firm-by-year fixed effects**. These fixed effects compare index funds and active funds **within the same firm at the same meeting**, so they absorb:

- time-invariant firm characteristics,
- time-varying firm conditions,
- meeting-specific governance context.

Interpretation. This is stronger than a standard cross-sectional ownership regression. The paper is not asking whether firms with more passive ownership look different. It is asking whether passive and active funds **behave differently when confronted with the same governance choice**.

4.2 Identification in the Russell setting

After 2006, Russell adopted a **banding** rule. Around the upper and lower bands, firms with nearly identical size and prior index membership can end up either:

- **switching** indexes, or
- **staying** in their old index.

The paper restricts attention to these **potential switchers** in narrow windows around the bands and then compares outcomes before and after assignment.

Interpretation. The design treats the exact landing position relative to the band as quasi-random, conditional on prior index and closeness to the band.

4.3 Balance and pretrend evidence

The paper shows that treated and control firms are balanced ex ante:

- no discontinuity in pretreatment **index-fund ownership**,
- no discontinuity in pretreatment **E-index**,
- no discontinuity in pretreatment **lagged stock returns**.

The event-study evidence also shows **similar pretreatment trends** for switchers and stayers.

Interpretation. These are exactly the patterns one wants in a clean difference-in-differences design: the groups look similar before treatment, and they diverge only after index assignment.

4.4 Why the first-stage ownership shock is believable

When firms switch from the Russell 1000 to the Russell 2000:

- ownership by Russell 2000 funds rises sharply,
- ownership by all index funds rises,
- ownership by active mutual funds falls.

The reverse occurs for firms switching from the Russell 2000 to the Russell 1000.

Interpretation. The ownership shock is not just a relabeling of the firm. It actually changes who owns the stock, and specifically changes the balance between passive and active monitors.

4.5 Selection-bias concern in voting data

A natural concern is that we only observe how a fund votes if it chose to hold the stock in the first place. The paper addresses this in the Internet Appendix using a **Heckman correction** and reports that the main conclusions are unchanged.

Interpretation. The central result is not driven by a special set of firm-fund matches in which passive funds happen to hold different firms.

4.6 Only-through assumption and remaining limitations

For the firm-level difference-in-differences results, the causal interpretation requires that Russell assignment affects governance **only through ownership changes**. This is the same kind of assumption used in other Russell-index studies.

Important limitations remain:

- private engagement is not directly observed;
- the Russell evidence pertains to firms near the Russell 1000/2000 boundary;
- the paper mainly compares **index funds to active funds**, not to activists or concentrated blockholders.

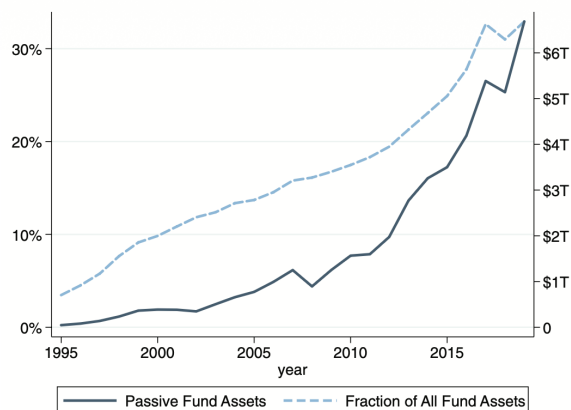


Figure 1
Yearly assets under management for index funds
 The figure plots the total assets under management (AUM) for passively managed index funds in the CRSP Mutual Fund database, by year, in total dollars (solid line) and as a fraction of AUM (dashed line) across all funds.

Interpretation. The paper gives strong evidence that passive funds monitor less than active mutual funds. It does not claim that index funds never monitor, only that they monitor **less effectively on average**.

5 Tables and figures

5.1 Figure 1: the rise of index funds

Read:

- Passive fund assets rise from essentially zero in the mid-1990s to more than **\$6 trillion** by the end of the sample shown.
- The passive share of all fund assets rises to above **30%**.
- The growth is not incremental; it accelerates sharply after about 2010.

Economic message. This figure motivates the paper's first-order importance. If index funds were still niche players, monitoring differences would matter less. But once passive funds become dominant owners, their governance model has aggregate consequences.

5.2 Figures 2 and 3: how the Russell design works

Read:

- Figure 2A shows the post-2006 Russell banding system: the old single discontinuity at rank 1000 disappears, but new discontinuities arise at the **upper and lower bands**.
- Figure 2B shows the cohort sample of **potential switchers**: firms close to the bands whose prior index membership makes them candidates to either switch or stay.

Economic message. The paper's firm-level identification does not come from the classic Russell 1000/2000 cutoff. It comes from **band-induced index switching** after 2006.

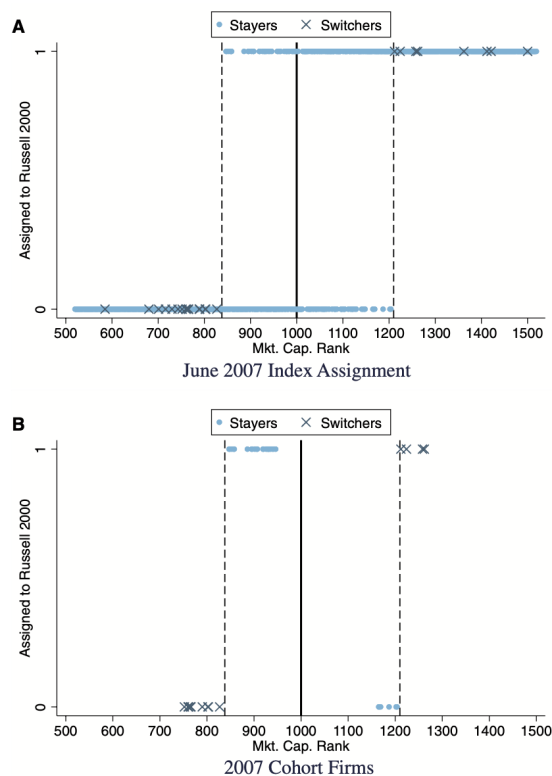


Figure 2
Selection of cohort samples
 Panel A plots the cutoff, bands, and index assignments for the Russell index assignment in June 2007. Panel B shows the 2007 cohort, consisting of all Russell stocks that lay within a ± 100 -rank window of the upper and lower bands, and that were potential switchers, that is, were in the Russell 2000 in 2006 for those near the upper band or were in the Russell 1000 in 2006 for those near the lower band.

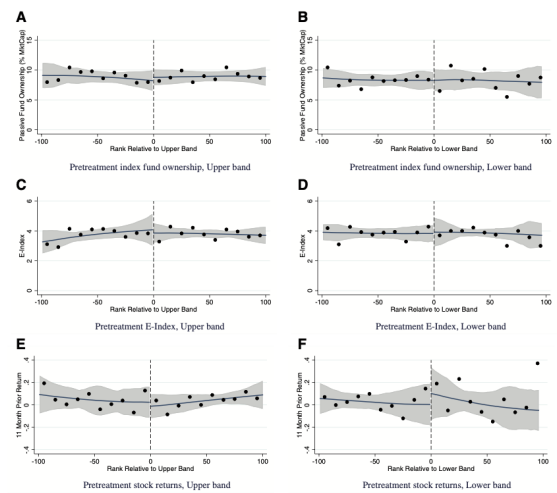


Figure 3
Balance tests
 The figure presents regression discontinuity plots of (A, B) ownership by index funds, (C, D) the Entrenchment index (E-index) of Bebchuk et al. (2008), and (E, F) lagged 11-month stock returns, across the upper (left side) and lower (right side) bands as of the last pretreatment year, for firms in the Russell cohorts. In each panel, local polynomial regression lines are shown with ninety-nine percent confidence intervals shaded in gray.

Read:

- Figure 3 shows no meaningful discontinuity in **pretreatment passive ownership**, the **E-index**, or **lagged stock returns** across the upper and lower bands.
- The local-polynomial lines look smooth through the treatment threshold.

Economic message. The treated and control firms appear balanced before treatment, which makes the later post-assignment divergence far more credible as a treatment effect rather than selection.

5.3 Table 3 and Figure 5: switching changes who owns the stock

Table 3
Index switching and investor composition

	Dependent variable = Ownership (percentage points of market capitalization) by				
	<i>Index Own^{R2000}_{jt}</i>	<i>Index Own^{R1000}_{jt}</i>	<i>Index Own^{All}_{jt}</i>	<i>Active Own_{jt}</i>	<i>Other Own_{jt}</i>
	(1)	(2)	(3)	(4)	(5)
<i>R1000</i> → <i>R2000</i> × <i>PostAssignment_{it}</i>	1.72*** (0.14)	-0.21*** (0.02)	1.31*** (0.35)	-2.21** (0.75)	0.89 (0.89)
<i>R2000</i> → <i>R1000</i> × <i>PostAssignment_{it}</i>	-1.63*** (0.08)	0.22*** (0.01)	-1.20*** (0.25)	1.60** (0.57)	-0.40 (0.68)
Observations	4,649	4,649	4,649	4,649	4,649
Adjusted <i>R</i> ²	.510	.528	.841	.705	.738
Year FE	Yes	Yes	Yes	Yes	Yes
Firm × Cohort FE	Yes	Yes	Yes	Yes	Yes

The table presents differences-in-differences estimates of the effects of Russell index switching on equity ownership expressed as a percentage (1=1%) of the firm's market capitalization. Each yearly cohort consists of firms that were "potential switchers" within a +/-100-rank window of the yearly Russell upper and lower bands in that year. The sample consists of observations for 3 years before and after index assignment for each firm in each cohort. *R1000* → *R2000* equals one if a firm switches from the Russell 1000 to the Russell 2000, whereas *R2000* → *R1000* equals one if a firm switches from the Russell 2000 to the Russell 1000. *PostAssignment_{it}* is an indicator variable that equals one if a firm switches from the Russell 2000 to the Russell 1000. The dependent variables are ownership by (1) Russell 2000 index funds, (2) Russell 1000 index funds, (3) all index funds, (4) all active mutual funds, and (5) other investors. Robust standard errors clustered by firm and year are shown in parentheses. **p* < .1; ***p* < .05; ****p* < .01.

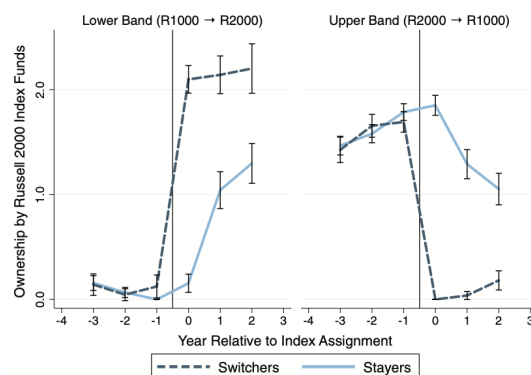


Figure 5
Index switching and index fund ownership
The figure plots the evolution of index fund ownership, in percentage points of the stock's market capitalization, relative to index assignment. The left figure displays average ownership by Russell 2000 index funds in event time, for firms near the lower band that were in the Russell 1000 prior to index assignment. The right figure displays average ownership by Russell 2000 index funds in event time, for firms near the upper band that were in the Russell 2000 prior to index assignment. The vertical bars represent 95% confidence intervals.

Read:

- Switching from the **Russell 1000 to the Russell 2000** raises ownership by Russell 2000 index funds by about **1.72 percentage points** of market capitalization and raises ownership by all index funds by about **1.31 points**.
- The same switch lowers active mutual fund ownership by about **2.21 points**.
- The reverse switch produces nearly symmetric effects in the opposite direction.

Economic message. The ownership shock is economically meaningful and exactly of the form the paper needs: **passive ownership rises because active ownership falls**.

Read:

- Switchers and stayers have essentially the same pretreatment levels and trends.
- Ownership by Russell 2000 index funds jumps sharply only after index assignment.
- The event-study response is symmetric for the two switching directions.

Economic message. Figure 5 shows the clean timing of the treatment: nothing happens before assignment, and ownership diverges only after the index switch.

5.4 Table 5 and Figure 6: the main voting result

Table 5
Fund voting

	Dependent variable = <i>VotedWithMgmt</i>			
	(1)	(2)	(3)	(4)
<i>IndexFund_{it}</i>	0.101*** (0.024)	0.102*** (0.023)	0.101*** (0.024)	0.103*** (0.023)
<i>ExpenseRatio_{it} × IndexFund_{it}</i>		-0.286*** (0.062)		-0.288*** (0.061)
<i>ExpenseRatio_{it} × ActiveFund_{it}</i>		-0.022 (0.036)		-0.024 (0.035)
Observations	2,601,806	2,601,806	2,601,605	2,601,605
Adjusted <i>R</i> ²	.061	.072	.105	.116
Firm FE	Yes	Yes	No	No
Year FE	Yes	Yes	No	No
Firm × Year FE	No	No	Yes	Yes

The table presents panel regression estimates of funds' voting on contentious items for index funds versus active funds. The dependent variable, *VotedWithMgmt*, equals one if a fund votes with management's recommendation and zero otherwise. *IndexFund* equals one if the fund is an index fund, and zero if the fund is an active fund. *ExpenseRatio* is the fund's total expense ratio in that year expressed in percentage points (1% = 1). Columns 1 and 2 show estimates with firm and year fixed effects; columns 3 and 4 show estimates with firm-by-year fixed effects. The sample consists of all firms and funds, for votes on contentious items only (i.e., items on which ISS and firm management were opposed). Robust standard errors clustered by fund and firm are shown in parentheses. **p* < .1; ***p* < .05; ****p* < .01.

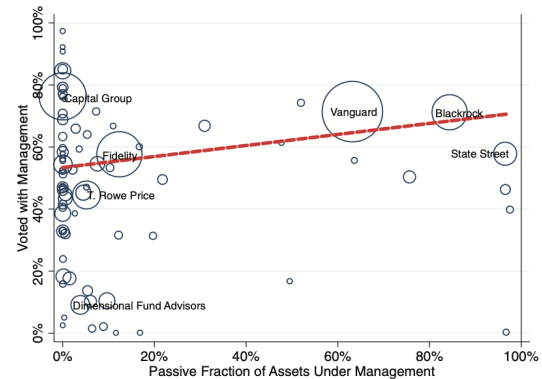


Figure 6
Voting behavior by fund families

The figure plots the fraction of votes cast on contentious agenda items that followed management's recommendation, against the fraction of total assets under management that was in passively managed index funds, across mutual fund families from 2004 to 2018. The area of each circle corresponds to the family's average total assets under management from 2004 to 2018. The dashed line represents the line of best fit.

Read:

- Across specifications, the coefficient on **IndexFund** is about **0.101–0.103**. Thus, on contentious agenda items, index funds are roughly **10 percentage points** more likely to vote with management.
- The interaction between **expense ratio** and **index fund** is about **-0.286 to -0.288**, while the active-fund interaction is small and insignificant.
- The result is unchanged when the specification moves from firm and year fixed effects to **firm-by-year fixed effects**.

Economic message. This is the core empirical result of the paper. Passive funds do not simply behave differently because they hold different firms; they behave differently **in the same governance situation**.

Read:

- Fund families with a larger **passive fraction of AUM** are more likely to vote with management.
- The Big Three sit far to the right of the plot and tend to support management at high rates.

Economic message. The monitoring pattern is not just about a few isolated index funds. It extends to the **fund-family level**, where governance may actually be coordinated.

5.5 Tables 6, 7, and 8: weak monitoring is not limited to voting mechanics

Read:

- On contentious **board** votes, index funds are about **11.0 percentage points** more likely to side with management.
- On **compensation** votes, the gap is about **11.3 points**, the largest in the table.
- The gap is also positive for **disclosure** and **entrenchment** items.

Table 6
Fund voting, split by vote type

Vote type:	Dependent variable = <i>VotedWithMgmt</i>			
	Board of directors (1)	Compensation (2)	Disclosure (3)	Entrenchment (4)
<i>Index Fund_i</i>	0.117*** (0.028)	0.113*** (0.011)	0.063** (0.032)	0.048*** (0.017)
Observations	1,428,041	35,111	122,322	80,766
Adjusted R ²	.108	.049	.019	.125
Firm × Year FE	Yes	Yes	Yes	Yes

The table presents panel regression estimates that examine funds' voting for index funds versus active funds, when we split the sample by agenda item type. Item type is *Board of Directors* in column 1, *Compensation* in column 2, *Disclosure* in column 3, and *Entrenchment* in column 4. The dependent variable, *VotedWithMgmt*, equals one if a fund votes with management's recommendation and zero otherwise. *Index Fund* equals one if the fund is an index fund and zero if the fund is an active fund. The sample consists of all firms and funds for votes on contentious items only (i.e., items on which ISS and firm management were opposed). Robust standard errors clustered by fund and firm are shown in parentheses. **p* < .1, ***p* < .05, ****p* < .01.

Table 7
Evidence on public engagement

	Dependent variable = Fraction 13D		
	(1)	(2)	(3)
<i>FracAUM Passive_{jt}</i>	-1.00** (0.46)	-0.91** (-24%) (0.44)	-1.03** (0.47)
<i>logAUM_{jt}</i>		-0.042 (0.038)	
<i>numFilings_{jt}</i>			0.0002 (0.00025)
Model	Probit	Probit	Probit
Observations	1,070	1,070	1,070
Pseudo R ²	.012	.015	.014

The table presents comparisons of fund families' blockholding disclosure filings. The dependent variable is "Fraction 13D," which is the fraction of each family-year's filings that were under the activist Schedule 13D versus the passive Schedule 13G. *FracAUM Passive* is the fraction of fund family *j*'s assets under management (AUM) that was managed by index funds in year *t*. *logAUM* is the logarithm of the fund family's total AUM. *numFilings* is the number of blockholding disclosures the family filed in that year. Marginal effects are displayed in square brackets. Robust standard errors clustered by fund-family are shown in parentheses. **p* < .1, ***p* < .05, ****p* < .01.

Table 8
Evidence on private engagement

	Management proposals			Shareholder proposals		
	<i>VoteYes</i> (1)	<i>VoteNo</i> (2)	<i>Abstain</i> (3)	<i>VoteYes</i> (4)	<i>VoteNo</i> (5)	<i>Abstain</i> (6)
<i>Index Fund_i</i>	0.117*** (0.028)	-0.043*** (0.011)	-0.068*** (0.018)	-0.067*** (0.023)	0.069*** (0.022)	0.001 (0.008)
Observations	1,738,780	1,738,780	1,738,780	862,819	862,819	862,819
Adjusted R ²	.106	.355	.298	.118	.093	.105
Firm × Year FE	Yes	Yes	Yes	Yes	Yes	Yes

B. Index switching and management versus shareholder proposals

	Management Proposals		Shareholder Proposals	
	Number contentious (1)	Fraction passed (2)	Number contentious (4)	Fraction passed (5)
<i>R1000 → R2000</i> × <i>Post Assignment_{it}</i>	-0.14 (0.16)	-0.01 (0.01)	-0.00 (0.32)	0.06 (0.11)
<i>R2000 → R1000</i> × <i>Post Assignment_{it}</i>	0.01 (0.10)	0.00 (0.01)	-0.00 (0.27)	0.24 (0.19)
Observations	4,137	4,137	198	198
Adjusted R ²	.425	.443	.130	.161
Firm × Cohort FE	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes

The table presents estimates of how funds vote on contentious agenda items depending on who proposed the item (panel A), and differences-in-differences estimates of the effects of Russell index switching on the number and type of agenda items proposed (panel B). Both panels split the sample into agenda items proposed by firm management versus agenda items proposed by shareholders. In panel A, the dependent variable is *VoteYes*, *VoteNo*, or *Abstain*. In panel B, the dependent variables measure the number of contentious proposals, the fraction of proposals that were contentious, and the likelihood of passage for the two types of proposal. Robust standard errors clustered by fund and firm (panel A) and firm and year (panel B) are shown in parentheses. **p* < .1, ***p* < .05, ****p* < .01.

Economic message. The result is broad-based. Index funds are not merely soft on trivial items; they are also softer on the categories most directly related to managerial oversight.

Read:

- The coefficient on the passive share of AUM is about **-1.00** in the public-engagement regression.
- The implied marginal effect is roughly **-24 percentage points**: fund families with more passive assets are much less likely to file **Schedule 13D**.
- In the subsample matched to individual funds, index funds file **zero** Schedule 13Ds.

Economic message. The paper does not just show that index funds vote weakly. It also shows they are much less willing to use the main public legal channel associated with activist engagement.

Read:

- On **management proposals**, index funds are about **11.7 points** more likely to vote “Yes” and **6.8 points** less likely to abstain.
- On **shareholder proposals**, index funds are about **6.9 points** more likely to vote “No,” again supporting management.
- After exogenous increases in index-fund ownership, shareholder proposals become about **17% less likely to pass**.

Economic message. These findings cut directly against the idea that index funds are secretly effective private monitors who simply choose to support management publicly after negotiating improvements behind the scenes.

5.6 Table 9: incentives weaken and board independence falls

Read:

- When firms switch from **R1000 to R2000**, **log pay-performance sensitivity** falls by about **0.43**, **log total compensation** rises by about **0.56**, and the **equity share of compensation** falls by about **0.06**.
- The reverse switch **R2000 to R1000** produces mirror-image effects: pay-performance sensitivity rises, total compensation falls, and equity-linked pay rises.

- In panel B, **board independence** falls by about **3 percentage points** after the R1000 to R2000 switch.
- Most other governance provisions show **no significant improvement**.

Economic message. The governance consequences are not abstract. As passive ownership rises, managerial incentives become weaker and boards become less independent.

Table 9
Index switching, managerial incentives, and firm governance

A. Managerial incentives							
	(1) logPPS	(2) logTotalComp	(3) EquityFrc	(4) GldnPara	(5) CEOTurnover		
$R1000 \rightarrow R2000_j \times$ $PostAssignment_t$	-0.43*** (0.11)	0.56*** (0.08)	-0.06** (0.02)	0.00 (0.03)	-0.06 (0.05)		
MDES	±0.33	±0.23	±0.07	±0.09	±0.14		
$R2000 \rightarrow R1000_j \times$ $PostAssignment_t$	0.27** (0.10)	-0.41*** (0.06)	0.03** (0.01)	0.02 (0.02)	0.02 (0.02)		
MDES	±0.32	±0.18	±0.04	±0.07	±0.08		
Observations	3,445	3,219	3,138	2,592	3,923		
Adjusted R^2	.630	.815	.629	.698	.020		
Firm × Cohort FE	Yes	Yes	Yes	Yes	Yes		
Year FE	Yes	Yes	Yes	Yes	Yes		
B. Firm governance							
	(1) BoardIndep	(2) E-index	(3) PoisonPill	(4) Supermaj	(5) LimSpecMeet	(6) WrConsent	(7) DualClass
$R1000 \rightarrow R2000_j \times$ $PostAssignment_t$	-0.03*** (0.01)	-0.07 (0.08)	-0.06 (0.05)	-0.01 (0.01)	-0.00 (0.02)	-0.05 (0.03)	0.00 (0.00)
MDES	±0.02	±0.25	±0.14	±0.03	±0.06	±0.10	±0.01
$R2000 \rightarrow R1000_j \times$ $PostAssignment_t$	0.00 (0.01)	0.05 (0.06)	-0.01 (0.04)	0.01 (0.02)	0.00 (0.03)	0.06 (0.03)	-0.01 (0.01)
MDES	±0.03	±0.19	±0.12	±0.06	±0.09	±0.10	±0.03
Observations	2,613	2,592	2,592	2,592	2,592	2,592	2,592
Adjusted R^2	.712	.830	.720	.720	.801	.778	.938
Firm × Cohort FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes

The table presents differences-in-differences estimates of the effects of Russell index switching on managerial incentives (panel A) and on measures of firm governance (panel B). The sample consists of stocks that were “potential switchers” within a +/-100-rank window of the yearly Russell upper and lower bands from 2007 to 2016, 3 years before and after index assignment for each firm in each cohort. The table also displays the minimum detectable effect size (MDES) below each coefficient. Robust standard errors clustered by firm and year are shown in parentheses. * $p < .1$; ** $p < .05$; *** $p < .01$.

Table 10
Index switching and firm value

	(1) log(q)	(2) log(q^{TOT})	(3) log(Mkt/book)	(4) ROA
$R1000 \rightarrow R2000_j \times$ $PostAssignment_t$	-0.10*** (0.03)	-0.21*** (0.05)	-0.12** (0.04)	-0.03*** (0.01)
$R2000 \rightarrow R1000_j \times$ $PostAssignment_t$	0.01 (0.01)	0.06* (0.03)	-0.03 (0.02)	0.00 (0.01)
Observations	4,296	3,403	4,552	4,188
Adjusted R^2	.814	.812	.774	.678
Year FE	Yes	Yes	Yes	Yes
Stock $\times$ Cohort FE	Yes	Yes	Yes	Yes

The table presents difference-in-differences estimates of the effects of Russell index switching on measures of firm value and performance. Each yearly cohort consists of firms that were “potential switchers” within a +/-100-rank window of the yearly Russell upper and lower bands in that year. The sample consists of observations for 3 years before and after index assignment for each firm in each cohort. $R1000 \rightarrow R2000$ equals one if a firm switches from the Russell 1000 to the Russell 2000, whereas $R2000 \rightarrow R1000$ equals one if a firm switches from the Russell 2000 to the Russell 1000. $PostAssignment_t$ is an indicator variable that equals one after index rebalancing. The dependent variables are log(q), which is the natural logarithm of one plus Tobin’s q (column 1), log(q^{TOT}), which is the natural logarithm of one plus adjusted Tobin’s q calculated by Peters and Taylor (2017) (column 2), log(Mkt/Book), which is the natural logarithm of one plus the market-to-book ratio (column 3), and accounting return on assets (column 4). Robust standard errors clustered by firm and year are shown in parentheses. * $p < .1$; ** $p < .05$; *** $p < .01$.

5.7 Table 10: weaker monitoring shows up in firm value

Read:

- The switch from **R1000 to R2000** is followed by a decline of about **0.10** in log Tobin’s q , **0.21** in the adjusted q measure, **0.12** in log market-to-book, and **0.03** in ROA.
- The reverse switch has smaller and often statistically weaker effects.

Economic message. The paper’s claim is not merely that governance “looks” weaker under passive ownership. It shows that weaker monitoring is associated with **worse valuation and performance outcomes**.

6 Short summary

- The paper asks whether index funds monitor their portfolio firms as effectively as active mutual funds.
- Using vote-level data with firm-by-year fixed effects, it shows that on contentious governance items index funds are about **10 percentage points** more likely to side with management.

- The gap is especially strong on **compensation** and **board** items, and it is smaller for index funds with **higher expense ratios**.
- The paper finds **no convincing evidence** that index funds compensate through public or private engagement: they rarely use 13D filings, and shareholder proposals are less likely to pass after passive ownership rises.
- A new post-2006 Russell **difference-in-differences** design shows that switching into the Russell 2000 increases passive ownership and decreases active ownership.
- Following those ownership shifts, firms exhibit **lower pay-performance sensitivity, higher total compensation, less board independence, and lower firm value/performance**.
- The overall message is that the rise of index investing **reduces monitoring intensity** and **shifts control toward managers**.

7 Conclusion

7.1 Core conclusion (what the paper establishes)

The paper establishes that, relative to active mutual funds, **index funds are weaker monitors**. This is shown at multiple levels: their voting behavior is more pro-management on contentious governance issues, they do not appear to engage effectively through public or private channels, and increases in passive ownership are followed by weaker incentive alignment and worse governance outcomes at portfolio firms.

7.2 Economic intuition

The key economic intuition is simple. Index funds own **many firms**, charge **low fees**, and cannot easily free themselves from governance problems by selling individual stocks without violating their tracking objective. In principle that could encourage voice. But in practice their low-cost, highly diversified model means that the **private benefit of deep monitoring is small relative to its cost**. Active funds, by contrast, have stronger incentives to concentrate attention and spend resources where governance matters. As passive funds replace active ones, the marginal owner becomes a **less forceful disciplinarian of management**.

7.3 Takeaway

Do Index Funds Monitor? is best read as a paper about the governance consequences of the passive-investing revolution. Its main lesson is not just that index funds vote differently. It is that **who owns the firm changes how the firm is governed**. When passive funds replace active monitors, the balance of power tilts away from shareholders and toward managers.